Element 3: The resource constraint

Why do things go wrong? Because every rupee of public expenditure is more expensive than we think.

We generally think of a rupee of public expenditure like we think of a rupee of our personal expenditure. However, raising one rupee of tax revenue from the economy is not a simple matter. People respond to incentives, and hence people change their behaviour when faced with a tax. Through this, every tax policy design induces distortions upon the working of the economy.

Taxation imposes a cost upon society owing to these distortions. The total cost of public expenditure is not just the Re 1 that is directly spent, but also the distortions or lost GDP associated with raising Re 1 of tax revenues.

These issues lead up to a critical concept in public finance: the *marginal cost of public funds* (MCPF). The MCPF tells us the cost to society of Re 1 of public spending. This is typically much larger than Re 1.

In India, the sources of inefficiency from the existing tax system are as follows:

1. Income tax distorts the work–leisure trade-off and the savings–consumption trade-off.
2. Commodity taxation distorts production and consumption, particularly when there are cascading taxes.
3. We in India have a menagerie of ‘bad taxes’ including taxation of interstate commerce, cesses, transaction taxes such as stamp duties or the securities transaction tax, customs duties, and taxation of the financial activities of non-residents. From 1991 to 2004, we thought the tax system was being reformed to get rid of these, but from 2004 onward, things have become steadily worse, starting with the education cess and the securities transaction tax. All these are termed ‘bad taxes’ in the field of public finance. When money is raised in these ways, the MCPF is large.